

OptiGuard

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Compelling Early-Stage Opportunity with Differentiated Technology and Market Tailwinds

Strong Value Proposition

- **Core Value**
 - Protects sensitive on-screen data from visual eavesdropping — the “last two feet” of cybersecurity.
 - Automates screen protection through facial recognition — no user action required.
 - Reduces the risk of costly data leaks and compliance violations.
- **Customer Gains**
 - Enhanced data security without compromising productivity.
 - Automatic compliance and audit trail for regulated industries (e.g., HIPAA).
 - Lower breach costs — average insider data breach ≈ \$400k.
 - Seamless enterprise integration with existing hardware and workflows.
- **Why the Value Proposition is Attractive for Woodland Venture Partners**
 - Solves an **underserved pain point** in enterprise security.
 - Addresses a **large** and **growing** market (mobile workforce, data privacy).
 - High switching cost and defensible tech → **potential for sticky, recurring B2B revenue.**

SWOT Analysis shows Strengths and Opportunities

Strengths:

- Proprietary facial-recognition solution combining device security and eavesdropping detection.
- Founding team with strong experience in cybersecurity and mobile systems.
- First mover in visual data protection.

Weaknesses:

- High burn rate (~\$200k/month) with limited cash runway.
- Limited start-up experience; early-stage management still proving scalability.
- Long B2B sales cycle—multiple decision-makers slow adoption.

Opportunities:

- Large growth in the cybersecurity sector
- \$70 B projected industry by 2019 with 6% CAGR (in hindsight, this was an underestimate)
- More reliance on tech -> higher demand for cybersecurity

Threats:

- Intense competition in enterprise security (“Red ocean” IT wallet).
- Replicability risk from large tech firms with greater resources.
- Niche market validation required — scalability still unproven.

Clear Investment Case Driven by Unique Positioning and Scalable Growth Potential

Industry Overview

- **Industry Drivers**
 - Rapid cybersecurity market growth: ~\$70B global TAM (2019), +6.9% CAGR.
 - Expanding remote workforce: **1.3B+ mobile workers** → increased exposure to data leaks.
 - **Regulatory pressure:** HIPAA, GDPR, and corporate compliance drive enterprise security spending.
 - Shift toward endpoint protection: Firms securing “unsophisticated methods” of data access (visual and physical).
 - **High enterprise spending stickiness:** Security budgets prioritized even in downturns.
- **TAM / SAM / SOM:**
 - TAM: ~\$70B global cybersecurity market (CAGR ~6.9%).
 - SAM: ~\$8B vulnerability & endpoint management (CAGR ~10.9%).
 - SOM: ~\$100–150M emerging niche in visual data protection for Android — expected to scale rapidly as compliance adoption rises.

Key Distinction from Industry: OptiGuard secures the “last two feet” — the human–screen interface — an underprotected gap in cybersecurity, giving Woodland Venture Partners exposure to a new category within a mature market.

Company Drivers – Investment Case

- **Unique positioning within cybersecurity:**
 - Targets an overlooked niche — visual data protection — where few incumbents operate.
- **First-mover advantage:**
 - With defensible, proprietary facial-recognition technology and strong IP protection.
- **Solves a clear enterprise pain point:**
 - Compliance risk and insider data exposure, a growing concern for regulated industries.
- **High scalability and sticky B2B model:**
 - Potential for recurring SaaS or licensing revenues once enterprise integration is achieved because of switching costs.
- **Technically strong founding team:**
 - Capable of executing and adapting in a complex enterprise sales environment.
- **Attractive risk–reward profile:**
 - Early-stage entry into a high-growth segment underpinned by global cybersecurity expansion.
- **Strong exit environment:**
 - Cybersecurity saw 161 Series A deals and over 50 exits in 2015, signaling robust investor and acquirer appetite.

Pre- and Post-Money, Valuation View & Key Hurdles

\$12.9M Post-Money Valuation — Success Depends on Commercial Validation and Disciplined Execution

Pre- and Post-Money Valuation

Valuation Overview		
Item	Amount	Explanation
Pre-money shares	2.048M	1.8M (fully diluted shares before Series A) + 0.248M (employee stock options)
Price per share	\$4.0	Series A price
Pre-money valuation	\$8.2M	$2.048M \times \\$4.00$
New Series A investment	\$5.0M	New cash from investors
Bridge loan conversion (amount of shares)	0.175M	Converts to equity at \$4/share -> Dilutes
Post-money valuation	\$13.2M	$\\$8.2M + \\$5.0M$
Post-money shares	3.2M	$1.8M + 1.25M$ (new money) + 0.175M (bridge)

Valuation View

- **\$8.2M pre-money and \$13.2M post-money valuation** at \$4.00/share; bridge converts to equity.
- Valuation sits **below 2015 cybersecurity Series A median** (\$17.8M) — fair discount for pre-revenue risk.
- **Investors pay for IP, team, and early enterprise traction**, not yet for financial performance.
- Reflects **option value on commercial proof**, not full product-market validation.
- Defensible but ambitious given current stage — hinges on converting pilots and proving scalability.
- Attractive entry point for Woodland if early execution succeeds → **asymmetric upside vs. limited capital risk**.

Key Hurdles

- **Potential technical bugs** or reliability issues could hinder enterprise integration.
- Must convert pilots into paid enterprise rollouts to **validate commercial model and scalability**.
- **Limited integration and product coverage**, only targeting Android Operating System in prototype
- **Long B2B sales cycles delay revenue recognition** and slow adoption.
- **Limited cash buffer** (~24 months post-Series A) — disciplined capital management required.
- **Strong technical team but limited entrepreneurial experience** — execution risk on scaling and go-to-market.

From Strong Technology to Commercial Scale and Profitability

Key Factors for Success

1) Product-Market Fit / Value Proposition

- Solves the “last two feet” risk (human–screen) with automated facial-recognition protection and audit logs.
- Enterprises show willingness to pay for improved data security and compliance.
- **View: Works technically; commercialization proof still needed – will the product sell?** (convert pilots to paid deployments).

2) Capital History & Funding

- Outlook Raised: \$315k seed; \$350k bridge (converts at Series A); proposed \$5.0M Series A new cash.
- Burn: ~\$200k/month → ~24 months runway after Series A (before growth hires).
- **View: Reasonable capital plan if spending remains disciplined; follow-on raise likely needed before breakeven. Costs will likely ramp up; follow-on round expected within 12-18 months to fund scaling and enterprise integrations.**

3) Competition

- No direct software preventing visual eavesdropping; substitutes are privacy screens, access-control FR, and broad security suites.
- **View: Attractive white space today, but sustainability depends on execution speed and proof before large vendors enter. Switching costs may act as a barrier, but only if product integration becomes sticky and scales fast.**

4) Industry (TAM / SAM / SOM)

- Large, expanding cybersecurity market; visual protection for Android estimated at a ~\$100–150M, growing at a CAGR of 10.9% due to compliance awareness.
- Enterprises facing increasing regulatory and insider-risk scrutiny create pull for proactive screen-level security.
- **View: Market opportunity is large and growing; key challenge is winning share quickly in a competitive, compliance-driven segment before larger cybersecurity vendors move in.**

5) Management

- Strong technical team (network security, cryptography) but lacks startup-scaling experience.
- Founder Departure Risk: Vesting and repurchase clauses allow buyback of unvested shares if a founder leaves within 36 months—protecting investors but leaving WVP uncertain which founder is most critical. Evaluating Mannix and Bolencamp’s partnership and leadership continuity is key to mitigating this risk.
- **View: Technically credible team but lacks entrepreneurial experience — adding go-to-market leadership and enterprise sales execution would improve success odds.**

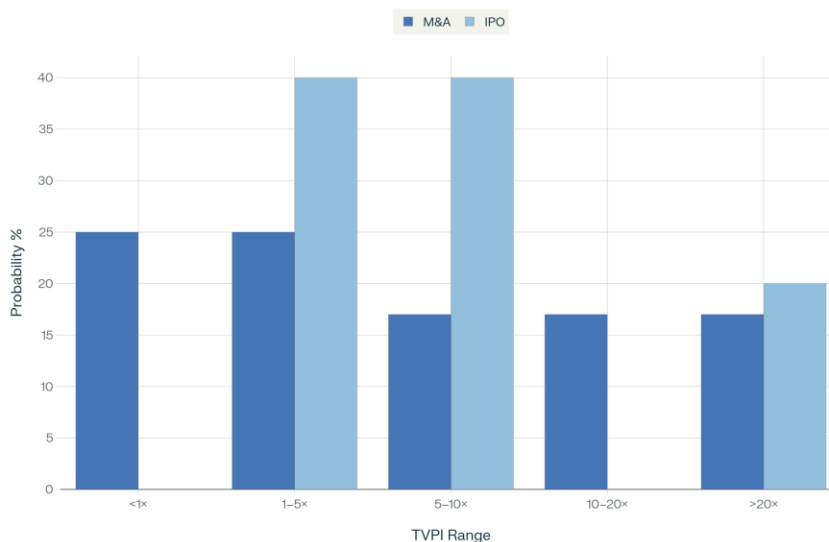
Assessing Execution Risk and Exit Path Likelihoods

Probability of Success: Target IRR: 25%

- **Short term (Series A → Series B ~18 months): ~40% chance of raising Series B**
 - Commercial execution, not tech, is the near-term hurdle.
 - The first year is the hardest, make or break.
- **Long term (Series B → Cash-Flow Neutral ~3 years): ~25% chance of reaching cash flow neutrality**
 - Dependent on follow-on capital to fund commercialization and market expansion.
- **Overall (Series A → Cash-Flow Neutral ~5 years): ~8–12% chance of self-sustainability without shutting down**
 - Attractive asymmetric upside if early market leadership is achieved.
- **Exit Scenario (6 years):** 10-year fund life, expected ~6-year hold; target IRR ~25%.
 - **Strategic M&A (~3%)** – Likely path given active acquirers like Cisco, Symantec, and Palo Alto Networks driving over 50 cybersecurity deals in 2015.
 - **Private Equity Buyout (~2%)** – Plausible if OptiGuard achieves recurring enterprise revenue but remains sub-IPO scale; likely buyers include Thoma Bravo, Vista, and Silver Lake.
 - **Continuation Vehicle / Secondary (~6%)** – Possible liquidity path if growth continues but exit timing is uncertain; affords WVP liquidity while rolling exposure to new entrants specializing in later-stage companies.
 - **Initial Public Offering (~0.5%)** – Least common but highest upside; peers like FireEye and Rapid7 delivered 6–22× returns upon listing.

Exits from Venture-Backed Companies in Cybersecurity

TVPI Distribution: Exhibit 8 — Exits from Venture-Backed Companies in Cybersecurity.



Term Sheet Offers WVP Extensive Investor Protections Given OptiGuard's Weak Negotiating Leverage

Investor-Leaning Terms

- **1x liquidation preference** ensures downside protection and enhances upside.
- **Weighted-average anti-dilution** mitigates impact of future down rounds.
- **Board control** with 3 of 7 director positions gives significant influence over governance and veto control over company strategy through class voting rights.
- **Protective provisions** require investor consent for major corporate actions / structural changes and outline remedies in the event of noncompliance.
- **Redemption rights after 6 years** provide exit strategy, liquidity, and financial protection if OptiGuard underperforms or experiences adverse change.
- **36-month vesting and founder stock repurchase rights** curb founder turnover risk and limit founders' ability to liquidate or transfer ownership early.

Entrepreneur Protections

- **No mandatory dividends** enables OptiGuard to reinvest earnings in growth rather than make required cash payouts to investors.
- **Conversion flexibility and automatic conversion** of preferred shares to common stock if the company achieves a moderate IPO or exit value (\$25M+) simplify capital structure and prevent WVP's liquidation preference from capping upside returns.
- **No cumulative redemption until Year 6** gives company 6 full years of operating runway before any cash-out obligation to investors arise.

Assessment/Opinion

- **Terms and conditions favor Woodland Venture Partners**, as the term sheet prioritizes capital protection, control, and liquidity for the investors, while limiting strategic freedom, flexibility for the founders, which is typical for early-stage venture capital deals.
- However, if OptiGuard scales successfully, founders can still benefit from upside.

Entrepreneur Counteroffers

1. **Reduce redemption rights**
 - Extend redemption beyond 6 years to avoid premature cash pressure and forced buyback when cash flow may still be negative.
 - Provide more time for growth and scalability.
2. **Adjust board composition**
 - Reduce preferred investor board seats from 3 to 2 to avoid blockage of key strategic decisions and majority control of the board.
 - Add 1 independent mutually agreed director to prevent premature strategic control takeover alternatively.

Term Sheet Favors Investor Downside Protection and Dual Participation

Liquidation Preferences

- **Non-Participating (Single Dip)**
 - Preference Investor receives either their investment back or their share as if converted to common — whichever is higher.
 - **Entrepreneur-friendly** — avoids double-dipping.
 - Example: \$5M invested for 50% → at \$20M exit, investor takes \$10M (the greater of \$5M or \$10M).
- **Participating Preference (Double Dip)**
 - Investor gets their investment back first, then also participates pro-rata in remaining proceeds.
 - **Investor-friendly** — combines downside protection and upside.
 - Example: \$5M invested for 50% → at \$20M exit, investor gets \$12.5M (\$5M + \$7.5M).

Different Viewpoints: Liquidation Preference Structure

- **Woodland Venture Partners' View (Investor)**
 - Prefer Participating Preferred (Double Dip)
 - Balances high early-stage risk with greater downside protection.
 - Allows investor to first recover investment, then participate in remaining proceeds.
 - Ensures return even if exit valuations are modest.
- **Mannix and OptiGuard's View (Founder)**
 - Prefer Non-Participating Preferred (Single Dip)
 - Aligns incentives around value creation and growth, not protection.
 - Investor either receives liquidation preference or converts — not both.
 - Prevents excessive dilution of founder upside in mid-range exits.

The Actual Term Sheet Specifies: Participating Preferred (Double Dip)
Woodland Venture Partner's first recovers the original purchase price plus any unpaid dividends, then participates pro-rata with common shareholders in remaining proceeds.
→ Investor-friendly structure that offers downside protection and upside participation.

Appendix

Company Name	Total VC Raised (\$M)	Final Valuation (\$M)	TVPI (x)
Good Technology	577.96	425	0.74
Bloxx	2.09	18.7	8.95
Viewfinity	33.92	30.5	0.9
Intronis	21.98	65	2.96
OpenDNS	53.27	635	11.92
Caspida	9.72	190	19.55
White Sky	28.09	0.73	0.03
ShieldArc	2	18	9
Airpost	0.21	0.75	3.57
Intellinx	53.16	84.9	21.23
Neohapsis	53.16	35	0.66
Tripwire	31.02	710	22.89
Rapid7 (RPD)	92.27	604.56	6.55
MobileIron (MOBL)	157.21	671.84	4.27
A10 Networks (ATEN)	118.63	885.44	7.46
NetPosa Technologies (300367)	4.73	11.47	2.42
FireEye (FEYE)	105.67	2349.42	22.23